Retail Research

25th March, 2026

Equity Fundamental

SBI Securities
Investment aur Trust, Dono

Pick of the Day (Short Term Delivery Call)

Company Name: Steel Authority of India Ltd.

NSE Code	SAIL
BSE Code	500113
Market Cap (Rs cr)	61,848
Avg. Trading Vol. in lakh (5 days/30 days)	223.0/260.4
Avg. Delivery Vol. in lakh (5 days/30 days)	78.6/104.1
Promoter Holding (%)	65.0
Pledge (%)	-

CMP (Rs)	149
Accumulation Range (Rs)	147-151
Target (Rs)	164
Upside Potential (%)	10.0%
Duration	6-12 Months

Source: ACE Equity, SSL Research

Steel Authority of India Limited (SAIL) is one of the largest steel producing companies in India with installed capacity of ~20 million tonnes per annum (MTPA). It is 100% integrated in iron ore but procures coking coal from Coal India (10%-15%) and imports. The Government of India (GoI) owns 65% of SAIL's equity and retains voting control of the company. However, SAIL, by virtue of its 'Maharatna' status, enjoys significant operational and financial autonomy.

Investment rationale:

Company Overview: SAIL manufactures flat products such as Hot Rolled (HR) coils, HR plates, Cold Rolled (CR) coils, pipes and electric sheets, and long products such as thermo mechanically treated (TMT) bars and wire rods. It also offers rails, structurals, merchant products, electric resistance welded pipes, spiral welded pipes and silicon steel sheets. It operates and owns over five integrated steel plants at Bhilai, Durgapur, Bokaro, Rourkela and Burnpur, and three special steel plants at Salem, Durgapur and Bhadravati. SAIL's Chandrapur Ferro Alloy Plant (CFP) produces ferro-alloys. It also has SAIL Refractory Unit (SRU) at Bokaro.

FY26 Outlook: (a) Volume Guidance: SAIL reported sales volumes of 14.61 MTPA during 9MFY26. The company is targeting 19.5 MTPA of sales in FY26, including around 1 MTPA from the NMDC Steel Limited (NSL) arrangement. Hot metal production is projected at ~21 MTPA for FY26 and ~22.5 MTPA for FY27. Additionally, SAIL plans to eliminate external sales of semis over the next 18–24 months with the commissioning of a new 1 MTPA TMT bar mill at the Durgapur Steel Plant.

Safeguard Duty offering leeway for price increase: During late Dec'25, the Indian government imposed safeguard duty on key flat steel products including HR coils/plates, CR coils, metallic coated and colour coated steel, if imported below the mentioned threshold limits: (a) Hot Rolled Coils, Sheets and Plates: USD 675/MT, (b) Hot Rolled Plate Mill Plates: USD 695/MT, (c) Cold Rolled Coils and Sheets: USD 824/MT, (d) Metallic Coated Steel Coils & Sheets: USD 861/MT and (e) Colour Coated Coils & Sheets: USD 964/MT. The final duty to be levied on imports below the threshold limits are as follows: (a) FY26: 12.0%, (b) FY27: 11.5% and (c) FY28: 11.0%. This move follows DGTR findings of a sharp surge in imports causing injury to domestic producers. At present, the domestic HRC prices are seen at a ~6% discount to the landed HRC import prices from China, which in our view provides a leeway for price hikes by domestic players in the near future.

Pricing Dynamics: Average Net Sales Realization (NSR) dropped to Rs 47,735/t in 3QFY26 from Rs 48,836/t in 2QFY26, primarily due to a sharp decline in flat product prices. To counter the coal cost push, the company has implemented price increases in Jan'26 (Long: Rs 2,000-2,500/t; Flat: Rs 3,300-3,500/t). The management expects these hikes to be fully reflected in 4QFY26, leading to a good jump in realizations.

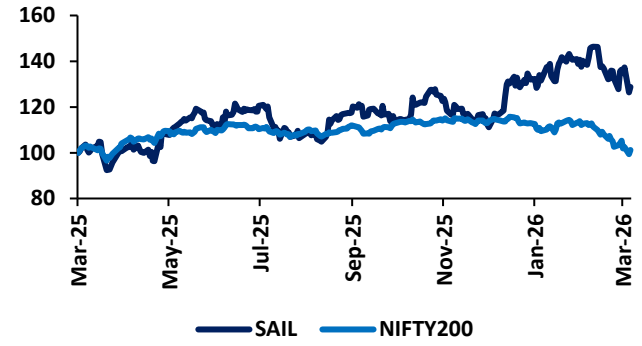
Cost Overheads: Blended coking coal costs remained relatively stable in 3QFY26 (Rs 18,351/t) but are expected to rise by Rs 1,200/t in Feb'26 and another Rs 1,000/t in Mar'26. The management believes the impact will be partially offset by production volume increases.

De-leveraging and Financial Prudence: The company reduced debt by Rs 5,000 cr during 9MFY26, with an additional Rs 2,000 cr repaid in Jan'26. Improved treasury management and ongoing deleveraging lowered finance costs by Rs 500 cr in 9MFY26, with a full-year target of Rs 1,000 cr in FY26.

Attractive valuation: At CMP of Rs. 149, the stock trades at FY26E/FY27E EV/EBITDA multiple of 8.4x/6.9x respectively.

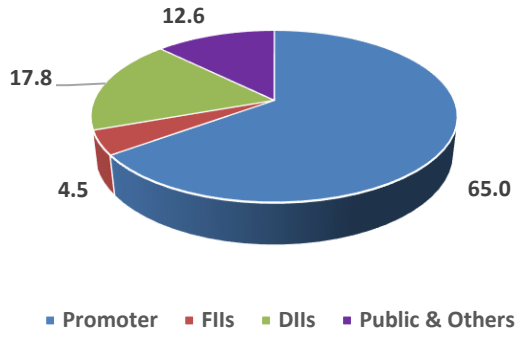
Key Risks: Decrease in domestic HRC prices; Increase in coking coal costs; Regulatory risk; Environmental concerns

Stock Performance (Indexed to 100)



Source: ACE Equity, SSL Research

Shareholding Pattern (Dec'25)



Source: BSE, SSL Research

Why Now?

Sr. No.	Parameters	Score
1	Recent financial performance (management guidance, return and margin profile, growth and cash flow)	✔
2	Overall corporate governance (Promoter pledge, credit rating, audit qualified opinion etc)	✔
3	Recent stock price movement-worst is over for stock, all negatives in the price (valuation, 52W H/L, below average PE etc)	↔
4	Beneficiary of recent macro and industrial developments (Regulatory, Fiscal/Monetary policy, favourable industrial outlooks etc)	✔

↔ - Neutral ✔ - Positive ✘ - Negative

Duration of recommendation: Short to Medium term

** Please refer to our call guide mentioned below.*

Recommendation History

Date	Stock Price	Target Price	Recommendation	Status
-	-	-	-	-

Call Guide:

The above recommendation is meant for short term investment purpose with holding period between 180-360 days and target upside upto 10% (+/- 0.5%). The recommended price is previous day's closing NSE price (except the stock only listed on BSE). In case of gap-up opening the call is termed "Not Entered" only if stock price does not come within +1% of previous close price on the day of call; partial profit is generally not advised; Call can be rationalized (changed) by Fundamental team at their discretion; generally to average or exit at loss (cut-loss strategy).

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